

Public Procurement Act, 2007

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Amending Acts

1. Some Nepal Acts Amendment Act, 2072 2072.11.13
2. Public Procurement (First Amendment) Act, 2073 2073.03.30
3. Some Nepal Acts Amendment to Make Conform to the Constitution of Nepal Act, 2075 2075.11.19
4. Some Nepal Acts Amendment Act, 2082 2082.04.14

Act No. 36 of the year 2063

An Act Made to Provide for Public Procurement

Preamble: Whereas, it is desirable to make the procedures, processes and decisions relating to public procurement more open, transparent, objective and reliable,

And whereas, it is desirable to make legal provisions relating to promoting competition, cleanliness, honesty, accountability and reliability in the public procurement process, achieving maximum return on public expenditure in a cost-effective and prudent manner, and enhancing the procurement management capacity of public entities when they carry out or cause to carry out construction works, or procure goods, consultancy services and other services, ensuring equal opportunity for producers, sellers, suppliers, construction entrepreneurs or service providers to participate in the public procurement process without discrimination, thereby guaranteeing good governance,

Now, therefore, this Act is enacted by the House of Representatives in the first year of the declaration of the House of Representatives, 2063. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Public Procurement Act, 2063".
(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-
 - (a) "Procurement" means the act of a public entity, in accordance with this Act, of obtaining any goods, consultancy services or other services, or carrying out or causing to carry out any construction work.
 - (b) "Public Entity" means the following entities:-
 - (1) Amended by Some Nepal Acts Amendment to Make Conform to the Constitution of Nepal Act, 2075. Constitutional organ or body, court, Amended by Some Nepal Acts Amendment to Make Conform to the Constitution of Nepal Act, 2075. ministry, secretariat, commission, department of the Government of Nepal or

Provincial Government, or any other government body or office under them,

(2) Amended by Some Nepal Acts Amendment to Make Conform to the Constitution of Nepal Act, 2075. Corporation, company, bank or committee under full or majority ownership or control of the Government of Nepal or Provincial Government, or commission, corporation, authority, company, foundation, board, centre, council and other organised institutions of a similar nature established at the public level pursuant to the prevailing law or Amended by Some Nepal Acts Amendment to Make Conform to the Constitution of Nepal Act, 2075. formed by the Government of Nepal or Provincial Government,

(3) Amended by Some Nepal Acts Amendment to Make Conform to the Constitution of Nepal Act, 2075.

Institution operating with loan or grant from the Government of Nepal or Provincial Government, and

(7) Amended by Some Nepal Acts Amendment to Make Conform to the Constitution of Nepal Act, 2075. Other institution specified as a public entity by the Government of Nepal or Provincial Government by publishing a notice in the Nepal Gazette.

(c) "Goods" means any kind of movable or immovable, Added by the First Amendment. animate or inanimate object, and the term shall also include ancillary services for the supply of such object.

(d) "Construction Work" means work related to constructing, reconstructing, demolishing, maintaining or renovating any structure or thing, including site preparation, excavation, erection, building, installing equipment or goods, finishing, etc., and the term shall also include ancillary services of construction work such as mapping, laboratory testing, satellite photography, seismic testing.

(e) "Consultancy Service" means any study, research, survey, design, drawing, supervision, training, testing work, software development or other intellectual or professional services of a similar nature.

(f) "Other Service" means hiring vehicles, equipment or goods, transportation, or maintenance of goods.

(g) "Bid" means a document, proposal or rate sheet submitted by a bidder in the format specified by the public entity, revealing the price, in response to a notice published by the public entity for procurement.

(h) "Bidder" means any person, firm, institution or company that submits or may submit a bid to participate in a procurement process.

(i) "Bidding Document" means a document prepared by the relevant public entity inviting bids for the bidder to fill in or prepare and submit a price or proposal or rate sheet, and the term shall also include instructions given to the bidder, specifications, maps, designs, terms of reference, schedule, evaluation criteria, bill of quantities, contract conditions and other similar documents.

(j) "Procurement Contract" means a contract relating to procurement made pursuant to Section 52 between a public entity and a supplier or construction entrepreneur or consultant or service provider.

(k) "Public Procurement Monitoring Office" means the Public Procurement Monitoring Office established pursuant to Section 64.

(l) "Authorized Officer" means an officer authorized to approve procurement related work pursuant to this Act or the rules made under this Act.

(m) "Security" means the security deposit money (retention money or earnest money) kept as a security until the completion of a task, and the term shall also include bid security, performance security, or money kept as

security for any other reason requiring security.

(n) "Special Circumstance" means a situation created by natural or divine calamities such as drought, lack of rain, excessive rain, earthquake, flood, landslide, fire, and Added by the First Amendment. epidemic, or an emergency or unexpected special cause, and the term shall also include situations such as war or internal conflict.

(o) Amended by Some Nepal Acts Amendment Act, 2072 and commenced from 2074.02.08. "Local Level" means the Rural Municipality, Municipality or District Assembly formed pursuant to the prevailing law.

(p) "Joint Venture" means the act of two or more companies or firms coming together to carry out a work with joint or several liability.

(q) "Agent" means a person, firm or company that takes an agency of any domestic or foreign person, firm or company.

(r) "Appellate Authority" means, in the case of a government body, for the head of office, if there is a regional office, the head of that office, and if there is no regional office, the departmental head of the concerned department; for a regional head, the departmental head of the concerned department; for a departmental head, the secretary of the concerned ministry, secretariat or commission; for a secretary, the concerned line minister or minister of state; for the secretary or administrative head of a constitutional organ or body, the head of the concerned constitutional organ or body; and for other public entities, the head of the entity one level above the procuring entity, and if no such entity exists, the board of directors or similar body of such public entity.

(s) "Donor Agency" means any foreign country or international or foreign institution providing foreign assistance to the Government of Nepal in the form of loan or grant through bilateral or multilateral agreement.

(t) "Ration" means the commodities specified by the Government of Nepal in relation to food for the Nepal Army, Nepal Police, Armed Police Force, or government employees, hospital patients, prison inmates, and animals/birds etc. as specified by the Government of Nepal.

(u) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(v) Added by Some Nepal Acts Amendment Act, 2082. "Infrastructure Company" means the Nepal Infrastructure Construction Company Limited established under the full ownership of the Government of Nepal pursuant to the prevailing Nepal law.

3. Procurement to be Made in Accordance with this Act: (1) A public entity, when procuring, shall complete the procedures under this Act and make the procurement.

(1a) Added by the First Amendment. When an institution registered under the prevailing law makes procurement using government funds, it shall, to that extent, complete the procedures under this Act and make the procurement.

(2) Amended by the First Amendment. Any procurement made contrary to sub-sections (1) and (1a) shall be void and invalid. Chapter-2

Provisions Relating to Responsibility for Procurement Work and Procurement Methods

4. Description of Goods, Construction Work and Services to be Prepared: (1) A public entity shall, before procuring goods, construction work or services, prepare the specifications, plans, maps, designs, special

requirements or other details relating thereto.

(2) When preparing the details pursuant to sub-section (1), they shall be prepared based on the relevant objective technical and quality characteristics of such goods, construction work or services, and the nature of the work.

(3) When preparing details pursuant to sub-sections (1) and (2), no specific brand, trademark, name, patent, design, type, origin or producer name shall be mentioned except where there is no other alternative to clearly understand the characteristics of the goods, construction work or services. Provided that, in case it is unavoidable to mention them, the words "or equivalent" may be mentioned after mentioning a specific brand, trademark, name, patent, design, type, origin or producer name.

(4) When mentioning details of technical or quality characteristics of goods, construction work or other services, or bases, references or terminology relating to testing, marking, packaging, labelling or conformity certificate in the bid or pre-qualification document, such details, bases, references or terminology shall not be mentioned in a manner that is unrelated to the work of such goods, construction work or other services, that would in any way hinder eligible bidders from participating in the procurement process, or that would limit competition without justification. 5. Cost Estimate to be Prepared: (1) A public entity shall prepare a cost estimate as prescribed for any procurement. Provided that Amended by the First Amendment. a cost estimate is not required for procurement up to one hundred thousand rupees, except in the case of construction work.

(2) A public entity shall keep the cost estimate prepared pursuant to sub-section (1) updated as prescribed. 5a.

To be Approved: Added by the First Amendment. (1) A public entity shall approve the details under Section 4 and the cost estimate under Section 5 as prescribed. (2) If it is necessary to amend the design or cost estimate once approved, except when amendment is required due to special reasons as prescribed, and if such amendment causes a difference of more than twenty-five percent of the original cost figure, or if the procurement work is affected due to defective design or preparation of abnormal cost estimate, the official who prepared, checked or approved such design or cost estimate and the consultant involved in that work shall be liable for action under the prevailing law. 6. Procurement Plan to be Prepared: When a public entity procures goods, construction work or services exceeding the prescribed limit, it shall prepare a master procurement plan and an annual procurement plan as prescribed. 6a. List of Registered Suppliers/Contractors to be Prepared: Added by the First Amendment. (1) Each public entity shall, for procurement made under sub-section (6) of Section 30, clause (a) of sub-section (1) of Section 41, and Section 46, prepare separate lists based on the eligibility under sub-section (2) of Section 10, according to the nature of procurement, of suppliers, construction entrepreneurs, consultants, non-governmental organizations or service providers. (2) If any supplier, construction entrepreneur, consultant, non-governmental organization or service provider desires to be included in the list under sub-section (1), they shall submit an application along with the prescribed documents to the concerned public entity. (3) The responsibility for updating the list under sub-section (1) shall lie with the concerned public entity. (4) For the purpose of sub-section (3), the concerned supplier, construction entrepreneur, consultant, non-governmental organization or service provider shall submit an application each year to the concerned entity to update the list. (5) Other provisions relating to the list shall be as prescribed. 7.

Responsibility for Procurement Work: Amended by the First Amendment. (1) The responsibility for carrying out or causing to carry out procurement related work by completing the procedures under this Act shall lie

with the head of the concerned public entity. (2) When the public entity carries out procurement related work pursuant to sub-section (1), it shall be done by an employee who possesses the qualification determined by the Public Procurement Monitoring Office and has knowledge of or has been trained in procurement work. (3) A public entity shall, for doing the following work, based on the procurement workload and nature of work, Deleted by Some Nepal Acts Amendment Act, 2062. establish a separate division, section or unit and designate a procurement officer:- (a) To prepare the procurement plan, (b) To prepare pre-qualification documents, bidding documents and procurement contract documents as required, without substantially differing from the standard bidding document, standard pre-qualification document, and standard contract document prepared by the Public Procurement Monitoring Office, Deleted by Some Nepal Acts Amendment Act, 2062. (c) To prepare proposal documents for consultancy services as required, without substantially differing from the standard request for proposal prepared by the Public Procurement Monitoring Office, Deleted by Some Nepal Acts Amendment Act, 2062. (d) To publicly publish procurement related notices, (e) To distribute pre-qualification documents, bidding documents or send proposal documents for consultancy services, (f) To receive pre-qualification proposals, bids or proposals for consultancy services and keep them securely, (g) To submit received pre-qualification proposals, bids or consultancy service proposals to the evaluation committee for evaluation and submit the evaluated bid for approval, (h) To notify the acceptance of pre-qualification proposals, bids or consultancy service proposals, (i) To take performance security and, after examining it, keep it securely, (j) To test or cause to test the quality of procured goods, construction work or services, (k) To provide information and documents requested by the Public Procurement Monitoring Office, and (l) To do other prescribed work. (4) While doing or causing to do the work under sub-section (3), Amended by the First Amendment. the official responsible for the procurement division, section or unit shall do so with the approval of the head of the concerned public entity. (5) Added by the First Amendment. The duties, functions and powers of the head of the procurement division, section or unit established under sub-section (3) shall be as prescribed. (6) Added by the First Amendment. It shall be the duty of the head of the concerned public entity to ensure the completion of work within the stipulated time by regularly supervising, monitoring and controlling the quality of implementation of the procurement contract made under this Act. 8.

Procurement Method to be Selected: (1) When a public entity makes procurement, it shall do so by adopting any one of the following methods based on the prescribed circumstances and procurement value:- (a) For procurement of goods, construction work or other services:- (1) By calling for international competitive bidding, (2) By calling for national competitive bidding, (3) By calling for sealed quotations, (4) By direct procurement, (5) By involving a consumer committee or beneficiary community, (6) By auction. (7) Added by the First Amendment. By lump sum rate method, Explanation: For the purpose of this sub-clause, "by lump sum rate method" means the method of submitting a bid by committing at what percentage less or more than the total estimated cost and quantity of each unit the work will be done. (8) Added by the First Amendment. By procurement at rates determined by the manufacturer or authorized dealer (catalogue shopping), Explanation: For the purpose of this sub-clause, "procurement at rates determined by the manufacturer or authorized dealer (catalogue shopping)" means the procurement method where, after a company producing goods publicizes its sale price determined on the basis of product characteristics, quality and features on its website or document (brochure), competition is made with the price set by a company producing goods of a similar standard. *(9) Added by the First Amendment. By limited tendering procurement method, Explanation: For the purpose of this sub-clause, "limited tendering procurement method" means the procurement method where, if there are only a limited number of producers, suppliers or service providers for a particular procurement of goods, construction work or services, competition is conducted only among such producers,

suppliers or service providers. Added by the First Amendment. (10) By buy-back method, Explanation: For the purpose of this sub-clause, "buy-back method" means the method of taking new items by returning the old ones, where goods or machinery tools that become obsolete after a certain period or cannot be auctioned or stored or used from the perspective of public health or environment are evaluated as prescribed and returned to the respective producer or supplier to take new ones. (b) For procurement of consultancy services:- (1) By calling for competitive proposals, (2) By direct negotiation. (2) When procuring in accordance with this Act and the rules made under this Act, procurement shall not be made by splitting into fragments in a way that limits competition.

Added by the First Amendment. (3) Provisions relating to the procurement methods under sub-clauses (7), (8), (9) and (10) of clause (a) of sub-section (1) shall be as prescribed. 9. Procurement to be Made by Open Competitive Bidding: Save as otherwise provided in this Act, a public entity shall, as far as possible, make procurement by calling for open competitive bidding and shall provide equal opportunity to eligible bidders to participate in such procurement process without discrimination. 10. Eligibility of Bidder or Proposer: (1) A bidder or proposer must fulfill the following eligibility criteria to obtain a procurement contract:-

(a) The criteria mentioned in the bidding document or, if pre-qualification proceedings have been conducted for the procurement, the criteria mentioned in the pre-qualification document, and

(b) The criteria mentioned in the proposal document for the proposer.

(2) When specifying eligibility criteria in the bidding document or proposal document pursuant to sub-section (1), criteria such as professional and technical qualification, availability of equipment, past performance record, provision for after-sales service, availability of spare parts, legal capacity, financial resources and condition, penalty for professional misconduct, and other similar bases may be mentioned.

(3) When specifying criteria pursuant to sub-section (2), no provision shall be made that only a particular class of construction entrepreneurs, suppliers, consultants or service providers may participate or that a particular class of construction entrepreneurs, suppliers, consultants or service providers may not participate.

(4) When evaluating bids, pre-qualification proposals and consultancy service proposals, evaluation shall be made only on the basis of the criteria mentioned in the bidding document, pre-qualification document and request for proposal document respectively, and such criteria shall apply equally to all bidders or proposers without any discrimination. Amended by the First Amendment. (5) Notwithstanding anything contained elsewhere in this section, eligibility criteria shall not be determined for the procurement of construction work with a cost estimate of less than two crore rupees, except for construction works specified as requiring eligibility by the public entity.

(6) If the information regarding eligibility submitted by a bidder or proposer is found to be factually false or substantially incomplete, the public entity may, at any time, declare such bidder or proposer ineligible. Provided that, in case of minor errors, the matter may be corrected by requesting information from the concerned bidder or proposer. Chapter-3

Provisions Relating to Bidding

11.

Bidding Process and Stages: (1) When procurement is to be made through bidding, bids may be invited by adopting the following process:- (a) By calling for open bidding after pre-qualification, (b) By calling for open bidding without pre-qualification. (2) Bids invited openly may be invited in one or two stages. (3) In the

circumstances mentioned in sub-section (1) of Section 28, bids may be invited in two stages. 12. Pre-qualification to be Done: (1) For carrying out construction works or procuring high-value goods such as industrial plants, which the Public Procurement Monitoring Office determines from time to time as large and complex, or to identify eligible bidders, a public entity shall, before inviting bids, prepare pre-qualification documents and publicly invite submission of proposals for pre-qualification. (2) If the public entity deems fit, it may also require pre-qualification for other procurements. (3) The pre-qualification document under sub-section (1) or (2) shall mention the eligibility criteria required for pre-qualification and the method of preparing and submitting the proposal. (4) A public entity shall provide the pre-qualification document required for submission of proposals under sub-section (1) or (2) as prescribed to all persons, firms, companies, institutions requesting such document. (5) Selection of eligible applicants shall be made on the basis of the eligibility criteria mentioned in sub-section (3). The public entity shall publish the list of selected applicants publicly and send it to all applicants. (6) If, within thirty days of the notice under sub-section (5), any applicant whose pre-qualification proposal was rejected requests information regarding the reason for rejection, the concerned public entity shall provide such information to that applicant. (7) Other provisions relating to pre-qualification conditions and determination shall be as prescribed. 13.

Bidding Document to be Prepared: (1) A public entity shall, before inviting bids, prepare a bidding document. (2) The bidding document under sub-section (1) shall include the following matters:- (a) Nature of procurement, time period required for procurement, and technical specifications thereof, (b) If bids are invited without pre-qualification, the eligibility criteria for bidders under Section 10, (c) Information regarding site inspection if required, (d) Information regarding any meeting to be held before bid submission, (e) Instructions for preparing and submitting bids, place for bid submission, last date and time for bid submission, and date, time and place for bid opening, (f) Price structure, currency or currencies that may be used for quoting, currency used for bid comparison and relevant exchange rate basis and its date, (g) Basis and method for bid evaluation and selection of bidder, (h) Provisions relating to preference for domestic goods and local construction entrepreneurs, if any, (i) Groups and packages if procurement is to be made by forming separate groups and packages of goods or construction works, and the method of evaluating them, (j) Method for evaluating alternative proposals, if alternative technical specifications are also requested, (k) Details of the part or parts for which bids may be submitted only for a portion of the goods, construction work or services being procured, (l) Period of validity of bid, (m) Amount, type, acceptable format and validity period of security required for bid, performance or other necessary matters, (n) If bid security is required, that the validity period of such security shall be thirty days longer than the bid validity period, Added by the First Amendment. (n1) That if a bidder commits a price up to fifteen percent below the cost estimate, performance security shall be five percent of the committed amount, and if the bidder commits a price more than fifteen percent below the cost estimate, performance security shall be five percent of the committed amount plus fifty percent of the amount by which the committed price is below fifteen percent of the cost estimate, Added by the First Amendment. (n2) The financial and technical details submitted by the bidder while bidding or contracting with any public entity, Added by the First Amendment. (n3) If a bidder has entered into a contract with any public entity and commenced any work, details of such entity, description of work, contract amount and progress of work, Added by the First Amendment. (n4) That, if work has commenced pursuant to clause (n3), the technical capacity of the bidder being utilized in any public entity as mentioned in the document referred to in clause (b) of sub-section (3) of Section 7 shall not be counted for further work to the extent required by such entity, (o) Conditions of the procurement contract under Section 52 and the manner in which such contract shall be applied, (p) Information regarding non-processing of bid in case of conflict of interest, or legal action in case of fraud or corruption, (q) Provision for a bidder to submit a petition for review against an error or

decision made by the public entity during the bidding process, (r) That documents certifying technical capacity and the financial proposal (bid amount) must be submitted in the same envelope, and (s) Matters determined by the Public Procurement Monitoring Office as required to be mentioned in the pre-qualification or bidding document. (3) The public entity shall provide the bidding document, on payment of the prescribed fee, to persons, firms, institutions or companies requesting the bidding document in response to the bid invitation notice, and if pre-qualification is required to participate in the procurement process, to persons, firms, institutions or companies who have obtained pre-qualification and request such document.

14. Invitation of Bids: (1) The notice inviting bids or pre-qualification proposals shall be published in a national daily newspaper, and in the case of international bidding, may also be published in international communication media.

(2) The notice under sub-section (1) shall, in the case of a central level public entity, be placed on the website of that entity or the Public Procurement Monitoring Office, and in the case of a district level public entity, may be placed on the website of that entity or the Public Procurement Monitoring Office.

(3) The notice inviting bids or pre-qualification proposals shall include the following matters:-

- (a) Name and address of the public entity inviting bids,
- (b) Nature of the procurement work and time limit, place for supply of goods, provision of services or construction work,
- (c) If bid security is required, its amount and validity period,
- (d) If bid security is required, the validity period of the bid,
- (e) Place, method and fee for obtaining the bidding document or pre-qualification document,
- (f) Place, method, last date and time for submitting or sending bids or pre-qualification proposals,
- (g) Date, time, place for opening bids or pre-qualification proposals, and invitation to bidders or their authorized representatives at the time of opening, and
- (h) Other matters as prescribed.

(4) When publishing the notice under sub-section (1), a period of at least thirty days shall be given for national level bids or pre-qualification proposals, and at least forty-five days for international level bids or pre-qualification proposals. Added by the First Amendment. (4a) Except in the case under sub-section (5) of Section 26, if no bid or pre-qualification proposal is received within the period given for submission under sub-section (4), or if received but not substantially responsive, necessitating a re-invitation of bids or pre-qualification proposals, the public entity may, as required, re-invite bids or pre-qualification proposals by giving a period of at least fifteen days for national level bids or pre-qualification proposals and at least twenty-one days for international level bids or pre-qualification proposals.

Added by the First Amendment. (4b) If, even within the period given under sub-section (4a), no bid or pre-qualification proposal is received, or if received but not substantially responsive, and if not procuring immediately would cause harm or loss to the public entity or stall any work of that entity, the public entity may, stating the justification, re-invite bids by giving a period of up to seven days with the approval of the appellate authority for national level bids or pre-qualification proposals, or select any procurement method under Section 8 and procure in accordance with that method.

- (5) When specifying the place for obtaining the bidding document or pre-qualification document under clause (e) of sub-section (3), provision shall be made for such document to be available at two or more public entities.
- (6) When specifying the place for submitting or sending bids or pre-qualification proposals under clause (f) of sub-section (3), provision shall be made for submission or sending to only one public entity.
- (7) If a public entity, bidder or proposer requests security for submitting or sending bids or pre-qualification proposals under sub-section (6), the concerned District Administration Office shall immediately arrange for the necessary security.
- (8) In international bidding procurements, the public entity may give domestic preference to Nepali entrepreneurs and businesses as prescribed, and if such domestic preference is to be given, such fact shall be mentioned in the bid invitation notice and the bidding document. Amended by the First Amendment. Provided that, in the procurement of construction works through national level bidding, procurement may be made by allowing competition only among domestic bidders up to the prescribed cost estimate.
- (9) A foreign bidder submitting a bid shall state whether or not it has appointed any agent in the State of Nepal.
- (10) If an agent has been appointed under sub-section (9), the details as prescribed regarding the agent shall also be mentioned when submitting the bid.
- (11) Notwithstanding anything contained elsewhere in this section, in the case of public construction work procurement, preference may be given to a foreign bidder if such foreign bidder forms a joint venture with a domestic construction entrepreneur. 15.

International Level Bidding: (1) When inviting bids under this Act, international level bidding shall be invited in the following circumstances:- (a) If goods or construction works meeting the public entity's requirement are not available from more than one construction entrepreneur or supplier within the State of Nepal at competitive prices, (b) If no bid is received from national level bidding for procurement of goods, construction work or other services, and they need to be obtained from abroad, (c) If foreign goods or construction works need to be procured from foreign aid sources as per the agreement with the donor agency, (d) If the public entity certifies that due to the special and complex nature of the goods or construction works, procurement through international level bidding is necessary. (2) The notice inviting international level bidding under this section shall be published in the English language, and all bidding or pre-qualification documents shall be made available in the English language. (3) The notice under sub-section (2) shall be placed on the website under sub-section (2) of Section 14. 16. Clarification of Ambiguities in Bidding or Pre-qualification Documents: (1) If a bidder requests clarification regarding any matter mentioned in the bidding document or pre-qualification document within the time period specified in such document, the public entity shall provide clarification to all bidders before the expiry of the deadline for submitting bids or pre-qualification proposals. (2) If the public entity has provided information under sub-section (1) or made any amendment to the bidding document or pre-qualification document, it shall provide information regarding such amendment to all bidders participating in the procurement process, allowing them sufficient time to consider the amendment when submitting their bids or preparing pre-qualification proposals. (3) If additional time is required for bidders for the purpose of sub-section (2), the public entity may extend the deadline for submitting bids or pre-qualification proposals. 17. Deadline for Submission of Bids or Pre-qualification Proposals: When determining the last date and time for submitting bids or pre-qualification proposals, the public entity shall

ensure that the period under Amended by the First Amendment. sub-section (4), (4a) or (4b) of Section 14 is not reduced and that bidders have sufficient time to prepare or submit such bids or proposals. 18.

Manner of Submission of Bids: (1) Bids shall be submitted in the prescribed format, duly signed and sealed by the bidder or its authorized representative, and submitted by the bidder itself or through its representative or by post or courier to the place designated for bid submission within the last date and time for bid submission. (2) Bids received after the period under sub-section (1) shall not be processed, and such bids shall be returned unopened to the respective bidder. Added by the First Amendment. (3) Notwithstanding anything contained in sub-sections (1) and (2), the manner of submitting bids for procurement using electronic communication means shall be according to the electronic procurement system approved by the Public Procurement Monitoring Office. 19. Withdrawal and Modification of Bids: Amended by the First Amendment. (1) Except for bids submitted through electronic communication means, if a bidder wishes to withdraw or modify a bid it has submitted, it shall submit a sealed application at least twenty-four hours before the expiry of the deadline for bid submission. (2) Other provisions relating to withdrawal or modification of bids shall be as prescribed. 20. Period of Validity of Bids: (1) The period of validity of a bid shall be as mentioned in the bidding document. (2) The calculation of the period under sub-section (1) shall commence from the last date of bid submission. (3) Notwithstanding anything contained in sub-section (1), if after bid opening the public entity needs to extend the bid validity period, it may extend the bid validity period as necessary, stating the reason therefor. (4) When extending the bid validity period under sub-section (3), the consent of the respective bidder shall be obtained. (5) A bidder consenting to the extension of the bid validity period under sub-section (4) shall extend the validity of the bid security by the same period as the bid validity extension. (6) The security of a bidder not giving consent under sub-section (4) shall be returned. 21. Bid Security: (1) A bidder shall submit security as prescribed along with Added by the Some Nepal Acts Amendment Act, 2062.(1a) While deciding whether the bid amount of the lowest evaluated substantially responsive bid pursuant to clause (b) of sub-section (1) is substantially higher than the cost estimate or not, the public entity shall analyze the local market price at that time, the situation of price fluctuation of related goods and construction materials in the international market, the cost estimate, and the loss that may be incurred by the public entity if procurement is not made in time.

Added by the Some Nepal Acts Amendment Act, 2062.(1b) If it appears necessary to proceed with re-procurement proceedings after analysis pursuant to sub-section (1a), assurance must be given that it shall not exceed the bid amount of such lowest evaluated bid.

(2) Notwithstanding anything contained in sub-section (1), bids shall not be rejected or re-invitation of bids shall not be made solely on the ground that some bids or only one bid is substantially responsive.

(3) The public entity shall give notice including the reason for rejection of bids or cancellation of procurement proceedings pursuant to sub-section (1) to all bidders.

(4) If any bidder requests information on the basis for rejection of all bids or cancellation of procurement proceedings within thirty days of the notice given pursuant to sub-section (3), the public entity shall provide such information to him/her.

(5) If no bid is received upon invitation of bids, or if all bids are rejected or procurement proceedings are cancelled pursuant to sub-section (1) and bids are re-invited, the reason for such rejection or cancellation of procurement proceedings shall be reviewed, and, if necessary, the bid documents, technical specifications, cost estimate, and terms of the procurement contract shall also be revised.

(6) Notwithstanding anything contained elsewhere in this section, if it is proved that any bidders have submitted bids in collusion with each other, such bids shall be cancelled. Added by the Some Nepal Acts Amendment Act, 2062.(7) If procurement proceedings are cancelled citing reasons other than those mentioned in this section, the concerned official shall be subject to departmental action in accordance with the prevailing law. 27. Acceptance of Bid and Procurement Contract: (1) The public entity shall select for acceptance only the lowest evaluated substantially responsive bid pursuant to section 25.

(2) Within seven days of the selection of a bid pursuant to sub-section (1), the public entity shall give a notice of intention to accept the bid to the concerned bidder. Information on the name, address, and amount of the bidder of the bid so selected shall also be given to other bidders.

(3) If no bidder files a petition pursuant to section 47 within seven days of giving notice pursuant to sub-section (2), the bid of the bidder selected pursuant to sub-section (1) shall be accepted, and he/she shall be given notice to submit the performance security within fifteen days to enter into a procurement contract.

(4) The concerned bidder shall, within the period under sub-section (3), submit the performance security and enter into a procurement contract pursuant to section 52.

Added by the First Amendment. When submitting security in this manner, if the bidder has quoted an amount up to fifteen percent less than the cost estimate, five percent of the quoted amount shall be submitted; and if the bidder has quoted an amount more than fifteen percent less than the cost estimate, an amount equal to five percent of the quoted amount plus fifty percent of the amount by which the quotation is less than fifteen percent shall be submitted as performance security.

(5) If the bidder fails to submit the performance security and enter into a contract within the period under sub-section (3), the bid security of that bidder shall be forfeited, and the bid of the next lowest evaluated substantially responsive bidder immediately thereafter shall be accepted and a procurement contract entered into.

(6) If the bidder under sub-section (5) also fails to submit the performance security and enter into a procurement contract, the bid of the subsequent lowest evaluated substantially responsive bidder shall be accepted sequentially, and he/she shall be notified to enter into a procurement contract in accordance with this section. Added by the First Amendment.(6a) The public entity shall ordinarily complete the work related to bid acceptance and procurement contract within the validity period of the bid pursuant to section 20.

(7) If any bidder whose bid has been rejected requests information on the reason for rejection of his/her bid within thirty days of the notice given pursuant to sub-section (2), the concerned public entity shall provide such information to him/her. 28.

Two-Stage Bidding: (1) Two-stage bidding may be invited in the following circumstances: - (a) If it is not possible to fully ascertain the technical aspects of the goods, construction works, or services to be procured, or the terms of the procurement contract, at the time of invitation of bids; or (b) If the nature of the goods, construction works, or services to be procured is complex, necessitating discussions with bidders on how various technical aspects or procurement contract related issues may be resolved, and on such technical aspects, contract terms, and benefits thereof. (2) When inviting bids at the first stage pursuant to this section, the procurement objective, expected performance, outline specifications, other outline characteristics, and the bidder's qualifications shall be mentioned in the bid documents, and it shall be stated that the bidder is not required to open the price in the bid, but only to submit a technical proposal and comments on the proposed procurement contract terms. (3) The public entity may hold discussions with any or all bidders regarding the

bids received pursuant to the bid invitation under sub-section (2). (4) Considering the discussions held pursuant to sub-section (3) regarding the bids received under sub-section (2), the public entity may do the following: - (a) Cancel proposals relating to bids that are not responsive due to inability to meet the basic requirements for procurement, to perform minimum works, to complete works within the specified period, or to be amended to meet such requirements, complete works, or complete works within the specified period, or due to any other deficiency; (b) Revise or improve technical specifications, evaluation criteria, and procurement contract terms to enhance competition; (c) Determine the evaluation method to assess the suitability of various options presented by bidders. (5) After completing the action pursuant to sub-section (4), the public entity shall invite bids at the second stage. When inviting such bids, bidders whose bids were not cancelled under that sub-section shall be invited to submit bids with prices in accordance with the revised bid documents. (6) Except as provided in this section, the proceedings relating to the second-stage bids made pursuant to sub-section (5) shall be conducted in accordance with the provisions set forth in this Chapter.

Chapter-4 Provisions Relating to Consulting Services 29.

30. Public Invitation for Expressions of Interest and Preparation of Short List: (1) If it is necessary to procure consulting services of an amount exceeding the prescribed amount, the public entity shall publish a notice in a national level newspaper stating the matters as prescribed, allowing a period of at least fifteen days to collect expressions of interest from persons, firms, organizations, or companies willing to provide such consulting services.

(2) The notice under sub-section (1) may be placed on the website of the concerned ministry of the public entity or the Public Procurement Monitoring Office.

(3) An international expression of interest shall be invited in the following circumstances: -

(a) If it is necessary to procure consulting services of an amount exceeding the prescribed amount;

(b) If consulting services as required by the public entity cannot be obtained from more than one consultant within the State of Nepal at a competitive price;

(c) If no proposal is received when proposals are invited at the national level for consulting services, and it is necessary to obtain services from a foreign consultant; or

(d) If it is necessary to obtain services from a consultant by inviting an international expression of interest, to be borne from foreign aid resources according to an agreement with the donor agency.

(4) When inviting the expression of interest under sub-section (3), the notice shall be published in the English language.

(5) After evaluating the qualifications, experience, and capability, among others, of the parties submitting expressions of interest under sub-section (1) or (3), the public entity shall prepare a short list by selecting generally three to six expression of interest parties, as prescribed, who are capable of providing such consulting services.

(6) When it is necessary to procure consulting services of an amount less than the prescribed amount, the public entity may, by completing the procedure as prescribed, prepare a list of persons, firms, organizations, or companies capable of providing such consulting services, and shall, from among the persons, firms, organizations, or companies included in that list, invite proposals pursuant to section 31 by completing the procedure as prescribed. 31.

Invitation of Proposals: (1) After the short list has been prepared pursuant to section 30, the public entity shall send the proposal documents as prescribed to the expression of interest parties included in that short list, granting a period of at least thirty days, and invite proposals from them. (2) The following matters shall be mentioned in the proposal documents under sub-section (1): - (a) Name and address of the public entity; (b) Nature of the services to be procured, period within which the services are to be provided, place, scope-of-work terms, tasks to be completed, and expected results; (c) Instructions to proposers for preparing proposals; (d) That the technical and financial proposals are to be placed in separate sealed envelopes, clearly indicating on the outside of each envelope what type of proposal it is, and that both proposals are to be placed in another separate sealed envelope mentioning the subject of the requested service; (e) Technical and financial evaluation weight; (f) Basis and weight for proposal evaluation and comparison; (g) Terms of the procurement contract; (h) Place, date, and time for submission of proposals; (i) Method for selecting proposals; (j) That proposals will not be processed in case of conflict of interest, and information on legal action in case of corruption or fraud; (k) Provision for the proposer to file a petition for review against an error or decision made by the public entity while processing the proposal; and (l) Other matters as prescribed. (3) When stating the bases for proposal evaluation pursuant to clause (f) of sub-section (2) in the proposal documents under sub-section (1), any or all of the following bases for evaluating the technical proposal shall be specified as required: - (a) The consultant's experience relating to the work to be done; (b) Quality of the proposed methodology for performing the work by the consultant; (c) Qualifications of the proposed key personnel; (d) Arrangement for transfer of knowledge and technology; (e) In the case of an international proposal, details of the proposed key Nepali personnel for performing the work. (4) When stating the method for selecting proposals pursuant to clause (i) of sub-section (2) in the proposal documents under sub-section (1), it shall be mentioned which of the following methods the selection of proposals will be based on: - (a) Quality and Cost Based Selection method; (b) Quality Based Selection method; (c) Fixed Budget Selection method; or (d) Least Cost Selection method. (5) Notwithstanding anything contained in sub-section (4), if the nature of the consulting services to be procured is unusually complex or if such services may have a significant impact on the national economy or future projects, the selection of proposals may be made completely based on the Quality Based Selection method, as prescribed.

32. Opening of Proposals: (1) After the final deadline for submission of proposals has expired, the outer envelope of the proposals received from proposers shall be opened and the sealed envelopes of the technical and financial proposals shall be separated.

(2) Among the envelopes separated under sub-section (1), the technical proposal shall be opened first, and the envelope of the financial proposal shall be kept separate and safe without opening.

(3) The envelope of the financial proposal separated under sub-section (2) shall be opened only after evaluating the technical proposal pursuant to section 33.

(4) Other provisions relating to the opening of technical proposals shall be as prescribed. 33. Evaluation of Technical Proposal: The technical proposal shall be evaluated according to the basis of evaluation stated in the proposal documents. 34. Opening of Financial Proposal: Only the financial proposals of proposers who become qualified from the evaluation of technical proposals shall be opened as prescribed. 35. Evaluation of Financial Proposal: (1) The financial proposal opened pursuant to section 34 shall be evaluated as follows: -

(a) If the Quality and Cost Based Selection method is adopted for selecting proposals, a combined evaluation of the technical proposal and the financial proposal shall be made, and the proposal of the proposer obtaining the highest score shall be selected as prescribed.

(b) If the Quality Based Selection method is adopted for selecting proposals, only the proposal of the proposer obtaining the highest score in the technical proposal shall be selected.

(c) If the Fixed Budget Selection method is adopted for selecting proposals, proposals with a cost exceeding the limit of such budget shall be cancelled, and the proposal of the proposer who falls within such budget limit and obtains the highest score in the technical proposal shall be selected.

(d) If the Least Cost Selection method is adopted for selecting proposals, the proposal of the proposer with the lowest cost among the proposers who obtain the minimum score prescribed for passing the technical proposal shall be selected.

(2) Other provisions relating to the evaluation of financial proposals shall be as prescribed. 36. Rejection of Proposals and Cancellation of Procurement Proceedings: (1) In the following circumstances, the public entity may reject all proposals or cancel the procurement proceedings: -

(a) If all received proposals are not substantially responsive according to the scope-of-work terms;

(b) If the cost of the selected proposer is substantially higher than the cost estimate and available budget;

(c) If the consulting services are no longer required; or

(d) If it is proved that the proposers have submitted proposals in collusion with each other. Provided that proceedings may be conducted regarding the proposals of proposers who have not colluded. 37.

Negotiations with Proposer: (1) Negotiations may be held with the proposer selected pursuant to section 35 on matters relating to the scope of work and the proposed service, progress reports, and facilities to be provided by the public entity. (2) Except in the case under clause (b) of sub-section (1) of section 35, there shall be no negotiations regarding the remuneration of professionals in relation to the financial proposal. Provided that negotiations may be held regarding expenses of a reimbursable nature. (3) If agreement acceptable to both the public entity and the proposer cannot be reached during negotiations under this section, the public entity shall, in the case of proposals under clauses (a), (b), and (c) of sub-section (1) of section 35, negotiate with the next proposer obtaining the highest score, and in the case of proposals under clause (d), with the next proposer with the lowest cost, sequentially. 38. Entering into Procurement Contract: (1) The proposal of the proposer with whom agreement has been reached in the negotiations under section 37 shall be selected for acceptance. (2) Within seven days of the selection of a proposal under sub-section (1), the public entity shall give a notice of intention to accept the proposal so selected to the concerned proposer and to other proposers on the list. (3) If no proposer files a petition pursuant to section 47 within seven days of giving notice under sub-section (2), the proposal of the proposer selected under sub-section (1) shall be accepted, and he/she shall be given a notice with a fifteen-day period to come and enter into a contract. (4) If he/she appears to enter into the contract within the period under sub-section (3), he/she shall enter into a contract pursuant to section 52; and if he/she does not appear, the public entity shall, in the case of proposals under clauses (a), (b), and (c) of sub-section (1) of section 35, negotiate with the next proposer obtaining the highest score, and in the case of clause (d), with the next proposer with the lowest cost, sequentially, in accordance with section 37, and enter into a contract pursuant to section 52. 39. Other Provisions Relating to Consulting Services: Other methods of obtaining consulting services and the evaluation procedure thereof shall be as prescribed. Chapter-5 Other Provisions Relating to Procurement 40.

41. Provisions Relating to Direct Procurement: (1) Notwithstanding anything contained elsewhere in this Act, in the following circumstances, goods or consulting services or other services may be procured directly, or

construction works may be carried out directly: -

(a) Petty procurement up to the prescribed amount;

(b) If the technical expertise or capability to fulfill the procurement related conditions is with only one supplier or contractor or consultant or service provider;

(c) If the right to supply the goods to be procured is with only one supplier and there is no other suitable alternative;

(d) If, for the replacement or expansion of existing goods or services or installed equipment parts, changing the supplier or consultant or service provider would make it impossible to replace or expand the goods or services in the public entity, and it is necessary to procure additional proprietary type goods or services within the prescribed limit from the original supplier or consultant or service provider;

Added by the First Amendment.(d1) If one public entity needs to make any procurement from another public entity;

Added by the First Amendment.(d2) If goods or services need to be procured from an international inter-governmental organization at the rates set by that organization;

Added by the First Amendment.(d3) If procurement needs to be made in special circumstances;

(e) If, due to unforeseen reasons, construction works, goods, consulting services, or other services that were not included in the initial contract and that are technically or economically difficult to complete separately from the initial contract need to be procured within the prescribed limit; or

(f) If there is an urgent need for the services of a particular consultant with specific (unique) qualifications for the related work, or if there is an unavoidable reason to obtain services from the original consultant.

(2) Notwithstanding anything contained elsewhere in this section, when making procurement pursuant to clauses (b), (e), and (f) of sub-section (1), in the case of a public entity under sub-clause (1) of clause (b) of section 2, procurement shall be made as decided by the Government of Nepal, the Council of Ministers, based on the recommendation of the following committee; and in the case of other public entities, procurement shall be made as decided by the supreme executive body of that entity: -

(a) Chief Secretary, Government of Nepal - Coordinator

(b) Secretary, Ministry of Finance - Member

(c) Secretary, concerned Ministry - Member

(d) Comptroller General - Member

(e) Deleted by the First Amendment.P

(3) When making direct procurement under sub-section (1), the public entity may prepare a written description of its requirements and special matters relating to quality, quantity, supply terms, and time, as prescribed, request a written rate or proposal from only one supplier or contractor or consultant or service provider, and, after negotiation as necessary, make the procurement.

Provided that, if approval from any authority is required under this Act for such procurement, procurement shall be made only after obtaining prior approval and entering into a contract. 42. Special Provisions Relating

to Ration Procurement: (1) Notwithstanding anything contained elsewhere in this Act, when procuring rations, the public entity shall follow the procedure as prescribed on the following matters: -

- (a) Cost estimate and its approval;
- (b) Price escalation;
- (c) Eligibility of bidders;
- (d) Bid security;
- (e) Submission of bids; and
- (f) Other matters as prescribed.

(2) Procedures other than those mentioned in sub-section (1) shall be as provided in this Act. 43. Provisions Relating to Hiring of Land and Buildings and Engaging Services on Contract: Notwithstanding anything contained elsewhere in this Act, the public entity may, when hiring land and buildings or engaging services on contract as prescribed, make procurement by following the procedure as prescribed. 44. Work May Be Carried Out through Consumer Committee or Beneficiary Community: If economy, quality, or sustainability will be enhanced by carrying out construction works or obtaining related services through a consumer committee or beneficiary community, or if the main objective of the project itself is to create employment and involve the beneficiary community, such work may be carried out or services obtained through the consumer committee or beneficiary community by completing the procedure as prescribed. 45. Work May Be Done or Got Done through Departmental Execution: (1) Works of a general nature such as maintenance, minor routine works, or cleaning may be done through departmental execution or got done through a consumer committee.

(2) The procedure to be completed when doing or getting work done under sub-section (1) shall be as prescribed. 46. Work May Be Got Done through Non-Governmental Organizations: If getting work such as public awareness training, orientation, empowerment, mainstreaming, done through non-governmental organizations is faster, more effective, and economical, the public entity may get such work done or obtain services from non-governmental organizations by following the procedure as prescribed. Chapter-6

Provisions Relating to Review of Procurement Proceedings or Decisions

47.

Petition May Be Filed before the Head of Public Entity: (1) Any bidder or proposer may file a petition before the head of the concerned public entity for review of an error or decision made by the public entity while conducting procurement proceedings or making a decision, or for failure to perform a duty that should have been performed, stating the reason that he/she has or may suffer loss due to such error or failure. (2) The petition for review under sub-section (1) shall be limited to proceedings prior to the signing of the procurement contract. (3) When filing a petition under sub-section (1), if any period is prescribed for filing such petition under this Act, it shall be filed within such period; and if no such period is prescribed, the petition shall be filed within seven days from the date on which the bidder or proposer came to know of the error in procurement proceedings or the failure to perform a duty by the public entity. (4) In the petition under sub-section (1), it shall be clearly stated what act or omission of the public entity caused such error or non-performance of duty, and which provision of this Act or the rules or directives made under this Act such decision is contrary to. (5) No proceedings shall be conducted on a petition for review received after the

expiry of the period under sub-section (3). (6) If, during investigation of the petition received under sub-section (1), any error is found in the procurement proceedings, the public entity appears not to have performed its duty, or such decision appears to be contrary to law, the head of the public entity shall suspend the procurement proceedings and make a reasoned written decision within five days of receipt of such petition. Added by the Some Nepal Acts Amendment Act, 2062.(6a) After the head of the public entity has made a decision pursuant to sub-section (6) on a petition filed under sub-section (1), if a petition is filed before the Review Committee against that decision, the procurement contract shall not be entered into during the period within which notice may be received at the public entity pursuant to sub-sections (1) and (2) of section 50. (7) The decision under sub-section (6) shall also mention how the procurement proceedings are to be proceeded with. (8) If a petition under sub-section (1) relates to procurement proceedings of an amount less than the prescribed amount, no petition for review may be filed before the Review Committee against the decision made by the head of the public entity under sub-section (6). 48.

Review Committee: (1) For the purpose of reviewing petitions under section 49, the Government of Nepal shall constitute a Public Procurement Review Committee consisting of a chairperson and members as follows: - (a) One person from among a judge of the High Court, or a person who has served as a judge of the High Court, or a person retired from a special class post of the Government of Nepal - Chairperson (b) One person from among persons retired from the first class of the Nepal Engineering Service of the Government of Nepal - Member (c) One person from among experienced and expert persons in the field of public procurement - Member (2) In appointing a member under clause (c) of sub-section (1), a person serving as an employee in a public entity shall not be appointed. (3) The term of office of the chairperson or member appointed under sub-section (1) shall be three years. Provided that, when making the first appointment of members, one member shall be appointed for a term of one year and the other member for a term of two years. (4) The term of office of the chairperson or member under sub-section (1) may be extended for one term. (5) The terms of service, remuneration, and facilities of the chairperson or member under sub-section (1) shall be as prescribed by the Government of Nepal. (6) The chairperson or member under sub-section (1) shall, before assuming office, submit information as prescribed to the Government of Nepal through the Public Procurement Monitoring Office. (7) In the following circumstances, the Government of Nepal may remove the chairperson or member from his/her office: - (a) If he/she engages in misconduct; (b) If he/she is unable to perform the duties of the office due to lack of efficiency or competence; or (c) If he/she is convicted by a court for a criminal offense involving moral turpitude. 49. Petition May Be Filed before the Review Committee: A bidder or proposer may file a petition before the Review Committee for review in the following circumstances: - (a) If a petition filed before the public entity under section 47 relates to procurement proceedings of an amount exceeding the prescribed amount, and the head of that entity has not made a decision on that petition within the period mentioned in sub-section (6) of that section, or if the petitioner is not satisfied with the decision given by him/her; (b) Regarding a procurement contract entered into pursuant to section 52. 50.

Manner of Review: (1) A bidder or consultant filing a petition before the Review Committee for review under section 48 shall, for the matter under clause (a) of section 49, file the petition within seven days, and for the matter under clause (b), within a period of thirty days from the date of such contract. (2) Within three days of receipt of a petition under sub-section (1), the Review Committee shall send a copy of such petition and any documents attached thereto, if any, to the concerned public entity, and notify it to provide information and response on the work done in that regard. (3) Within three days of receipt of the notice under sub-section (2), the public entity shall provide the related information and response to the Review Committee. (4) Based on the information and response received under sub-section (3), the evidence and documents submitted by the

petitioner along with the petition, and, if necessary, after hearing both parties, the Review Committee shall make a decision within thirty days of receipt of the petition under sub-section (1). (5) When making a decision under sub-section (4), the Review Committee may make a decision as follows: - (a) To dismiss the petition; (b) If the procurement contract has not been entered into, - (1) To order the public entity not to perform an unauthorized act or decision or adopt wrongful procedure; (2) To order the public entity to cancel, wholly or partially, the unauthorized act or decision made by it; (3) If any error is found in the evaluation of bids or proposals and re-evaluation is necessary, to order re-evaluation citing such error. (c) If the procurement contract has been entered into, and the Review Committee believes that the petitioner ought to have received such contract, to recommend to the public entity to pay the petitioner a reasonable amount of compensation considering the loss suffered by the petitioner. (6) A petitioner filing a petition for review under this section shall provide security as prescribed. (7) If the petition is dismissed under clause (a) of sub-section (5), such security amount shall be forfeited. 51.

Procurement Proceedings to Be Stayed: (1) After receipt of notice of a petition filed for review under sub-section (1) of section 50, the public entity shall stay the procurement proceedings until a decision is made by the Review Committee on that petition. (2) Notwithstanding anything contained in sub-section (1), procurement proceedings shall not be stayed in the following circumstances: - (a) If the public entity notifies the Review Committee that it is necessary to continue the procurement proceedings due to an important public interest involved in the procurement proceedings, providing proof thereof; or (b) If the Review Committee fails to make a decision within the period under sub-section (4) of section 50; or (c) If the procurement contract has already been entered into. (3) If the public entity does not stay the procurement proceedings pursuant to clauses (a) and (b) of sub-section (2), it shall inform the Review Committee thereof.

Chapter-7 Provisions Relating to Procurement Contract 52. Procurement Contract and Its Terms: (1) The public entity shall, when making procurement other than petty procurement under this Act, enter into a procurement contract in accordance with this section. (2) The procurement contract under sub-section (1) shall include the terms mentioned in the bid documents, proposal documents, or sealed quotation form, and such terms may be as follows according to the nature of the contract: - (a) Names and addresses of the parties to the procurement contract, phone and fax numbers, and contact person for contract implementation; (b) Scope of work of the procurement contract; (c) Description of documents forming part of the procurement contract and their order of priority; (d) Performance schedule; (e) Time for supply, time for performance of work, or provision regarding whether extension of time is permissible or not; (f) Amount of the procurement contract or the method of determining it; (g) Conditions for acceptance of goods, construction works, or services; (h) Deleted by the First Amendment. Terms and method of payment including payment in foreign currency; (i) Force Majeure; (j) Provision for price adjustment, if any; (k) Provision for issuance of variation orders and amendment of procurement contract, if any; (l) Provision relating to insurance, if required; (m) Required securities; (n) Liquidated damages for failure to perform work within the stipulated time; (o) Provision relating to bonus for completion of work before the stipulated time; (p) Provision for termination of procurement contract; (q) Provision for whether sub-contracting is permissible or not; (r) Dispute resolution mechanism; (s) Applicable law; and (t) Other matters as prescribed. Added by the First Amendment.52a.

Provision Relating to Advance Payment: (1) The public entity may, after entering into a procurement contract, upon taking an advance bank guarantee from the supplier, contractor, or service provider, provide an advance payment not exceeding twenty percent of the procurement contract amount. (2) When providing advance payment under sub-section (1), the first installment shall not exceed half of the approved advance amount, and the remaining amount may be provided based on work progress. (3) Except in the case under sub-section (5) of section 10, the advance amount shall be paid only through a bank account opened

separately for the contracted work. (4) The supplier, contractor, or service provider shall commence work within thirty days from the date of receipt of the first advance payment under sub-section (2). (5) Details of the purpose for which the advance amount under sub-section (2) was spent shall be updated and provided to the concerned public entity as prescribed. (6) If the advance taken under this section is found not to have been used for the related work, the advance bank guarantee taken under sub-section (1) shall be forfeited. (7) Other provisions relating to advance payment shall be as prescribed. 53. Amendment of Procurement Contract: The procurement contract may be amended by written consent of both parties, provided that the basic nature or scope of work is not altered, unless otherwise provided in the procurement contract. Provided that when issuing a variation order pursuant to section 54 or making price adjustment pursuant to section 55, the procurement contract need not be amended. Amended by the First Amendment.54.

Variation Order: (1) If circumstances that could not be foreseen at the time of entering into the procurement contract arise during the implementation of the contract, stating the clear reason therefor, a variation order may be issued by the following authority, following the procedure as prescribed: - (a) Variation up to five percent by the head of the concerned public entity at the class two gazetted level or equivalent; (b) Variation up to ten percent by the head of the public entity at the class one gazetted level or equivalent; (c) Variation up to fifteen percent by the departmental head; (d) Variation from fifteen percent up to twenty-five percent by the secretary of the concerned ministry or the head of the concerned body equivalent thereto; (e) Variation above twenty-five percent, in the case of a public entity under sub-clause (1) of clause (b) of section 2, by the Government of Nepal, the Council of Ministers; (f) Variation above fifteen percent, in the case of a public entity under sub-clause (2) of clause (b) of section 2, by the supreme executive body of that entity. (2) When issuing a variation order under clause (e) of sub-section (1), in the case of a public entity under sub-clause (1) of clause (b) of section 2, the concerned ministry shall form a group of experts, make necessary inquiries through that group, and based on the recommendation so obtained, the Government of Nepal, the Council of Ministers, upon the proposal of the concerned ministry, may issue a variation order; and in the case of a public entity under sub-clause (2) of clause (b) of section 2, the supreme executive body of that entity shall form a group of experts, make necessary inquiries through that group, and may issue a variation order only on the basis of the recommendation so obtained. (3) Notwithstanding anything contained in clauses (a) and (b) of sub-section (1), an authority lower than the authority that approved the cost estimate shall not issue a variation order. (4) Notwithstanding anything contained in sub-section (1), a variation order above fifteen percent of a procurement work worth up to sixty lakh rupees may be issued by the departmental head. 55. Price Adjustment in Procurement Contract: (1) Unless otherwise provided in the procurement contract, if it becomes necessary to make price adjustment during the implementation of a procurement contract with a duration of more than twelve months, the authorized officer may make price adjustment.

Provided that, in the procurement of public construction works where a national level bid has been invited and a procurement contract has been entered into, if the price of any construction material unexpectedly fluctuates by more than ten percent of the original price, price adjustment shall be made as prescribed by deducting ten percent from the amount so decreased or increased. (2) Notwithstanding anything contained in sub-section (1), price adjustment shall not be made if the work under the contract is not completed within the period specified in the contract due to delay by the person receiving the procurement contract, resulting in extra time being taken; or if the procurement contract is a lump sum contract or is based on a fixed budget. 56. Provision Relating to Extension of Contract Period: (1) The provision relating to extension of the period of a procurement contract shall be as stated in the concerned procurement contract. (2) Notwithstanding anything contained in sub-section (1), if the period of the procurement contract cannot be avoided due to force majeure, failure of the public entity to provide matters it was supposed to provide, or other reasonable

cause, the authorized officer may, upon application by the person receiving the contract, extend the period on the prescribed basis. 57. Payment of Bills or Invoices: The public entity shall make payment of bills/invoices as prescribed, subject to the procurement contract. 58. Dispute Resolution Mechanism: (1) Any dispute arising between the public entity and the contractor, supplier, service provider, or consultant during the implementation of the procurement contract shall be resolved by mutual agreement. Added by the First Amendment.(1a) If a dispute cannot be resolved by mutual agreement under sub-section (1), it shall be mentioned in the procurement contract that the dispute shall be resolved through mediation in accordance with Added by the First Amendment.61A.

62. Conduct of bidder or proposer: (1) A bidder or proposer must fulfill the obligations as mentioned in this Act or the rules made under this Act, the procurement contract, and other procurement-related documents.

(2) Without prejudice to the generality of subsection (1), a bidder or proposer shall not, with the intention of influencing the procurement process or the implementation of the procurement contract, do or cause to be done the following acts:-

- (a) give or offer an improper inducement, directly or indirectly,
- (b) submit misrepresentation or deception of facts,
- (c) engage in or be involved in any corrupt or fraudulent act,
- (d) interfere in any manner with the participation of other competing bidders or proposers involved in the work or proceedings related to the bid or proposal,
- (e) engage in any act of intimidation or coercion, directly or indirectly, threatening to cause bodily injury or property damage to any person involved in the procurement proceedings,
- (f) engage in collusion or become involved in a group before or after the submission of bids or proposals, with the intention of dividing procurement-related work among bidders or proposers, or fixing the price of the bid or proposal in an artificial or non-competitive manner, or otherwise depriving the public entity of the benefit of open and free competition,
- (g) contact the public entity or engage in any act influencing the examination and evaluation of bids or the evaluation of proposals, with the intention of influencing the bid or proposal during the period from the opening of the bid or proposal until the notice of acceptance of the bid or proposal is given.

(3) A bidder who has been given the responsibility of preparing bid documents or specifications for any procurement work or monitoring the implementation of procurement, or any person, firm, institution, company associated with him/her, or an employee working in such firm, institution, or company, shall not participate in the bid proceedings of such procurement. Provided that this provision shall not apply in the case of a turnkey procurement contract or a procurement contract made to perform both design and construction work. 63.

Blacklisting and removal from blacklist: (1) In the following circumstances, the Public Procurement Monitoring Office may blacklist a bidder, proposer, consultant, service provider, supplier, construction entrepreneur, or other person, firm, institution, or company for a period of one to three years based on the seriousness of their act:- (a) if it is proved that an act contrary to the conduct under section 62 has been done, Amended by the First Amendment.(b) if the bidder or proposer selected for approval pursuant to section 27 or 38 fails to enter into a procurement contract, (c) if, during the implementation of the procurement contract, a material defect is committed or the obligation according to the contract is materially not fulfilled, or it is later proved that the work according to the procurement contract is not of the quality as per the contract, (d) if the person is convicted by a court of any criminal offense rendering them ineligible to participate in a procurement contract, (e) if it is proved that the procurement contract was made by fabricating qualifications or by deception, or (f) any other circumstance as prescribed. (2) A bidder, proposer, consultant, service provider, supplier,

construction entrepreneur, or other person, firm, institution, or company blacklisted pursuant to subsection (1) shall not participate in the procurement proceedings of a public entity for the same period. (3) Notwithstanding anything elsewhere written in this section, a person, firm, institution, or company blacklisted by an authorized body under the prevailing law for non-repayment of a loan from a bank or financial institution shall not participate in public procurement proceedings for the duration of their remaining on such list. (4) If a person, firm, institution, or company that is unable to participate in public procurement proceedings pursuant to subsection (2) or (3) is found to have participated in procurement conducted by a public entity, no action shall be taken on their bid or proposal. (5) Other procedures relating to blacklisting pursuant to subsection (1) shall be as prescribed. (6) Concerning the removal from the blacklist of a bidder, proposer, consultant, service provider, supplier, construction entrepreneur, or other person, firm, institution, or company that is on the blacklist pursuant to subsections (1), (2), (3), (4) and (5), they shall be removed from the blacklist according to the criteria prepared by the Public Procurement Monitoring Office. Chapter-9 Provision relating to monitoring of procurement work 64.

65. Functions, duties and powers of the Public Procurement Monitoring Office: (1) In addition to the provisions elsewhere in this Act, the functions, duties and powers of the Public Procurement Monitoring Office shall be as follows:-

(a) to recommend to the Government of Nepal for improvements in procurement-related policies or prevailing laws,

Amended by the First Amendment.(b) to issue necessary directives, procedures and technical guidance on procurement methods such as turnkey, EPC, structural or unit rate contract, management contract,

(c) to prepare standard samples of bid documents (Standard Bidding Documents), pre-qualification documents (Standard Pre-qualification Documents), procurement contract documents (Standard Contract Documents), and request for proposals (Request for Proposal) that a public entity must use for conducting procurement proceedings,

(d) to collect statistics of procurement proceedings conducted or being conducted by a public entity, and Deleted by the First Amendment. monitor and examine or cause to be examined whether such proceedings are in accordance with this Act or the rules or directives made under this Act,

Added by the First Amendment.(d1) to conduct or cause to be conducted post-procurement review,

Added by the First Amendment.(d2) to prepare records of procurement-related qualification and experience of construction entrepreneurs, suppliers, consultants and service providers,

Added by the First Amendment.(d3) to issue electronic procurement directives,

(e) to provide advice and consultation if a public entity requests opinion or advice on any matter mentioned in this Act or the rules or directives made under this Act,

(f) to establish and operate a procurement-related website,

(g) to publish a bulletin to publicize this Act and the rules, directives, technical guidance made under this Act, and articles, materials related to public procurement, and other similar things,

(h) to prepare necessary procedures for coordination in procurement work and submit them to the Government of Nepal for approval,

(i) to arrange regular training programs for bidders or employees involved or to be involved in procurement work,

(j) to prepare necessary criteria for removal from the blacklist pursuant to section 63 and remove from the blacklist according to such criteria,

(k) to review and examine the construction, supply, consultancy service and other service systems to make the procurement arrangement effective, and regularly seek suggestions from service recipients or, as

required, from international organizations and other foreign bodies,

(l) to prepare plans for domestic or foreign assistance necessary for systematizing and improving the procurement system, and act as a central body for coordinating such assistance,

Added by the First Amendment.(11) to certify or cause to be certified procurement experts,

(m) to submit an annual report of procurement proceedings to the Government of Nepal, and

(n) to perform other prescribed functions.

(2) Notwithstanding anything written in subsection (1), the Public Procurement Monitoring Office shall not in any way engage in the procurement process of any other public entity except its own office, nor resolve any dispute arising in relation thereto.

(2a) If procurement proceedings conducted by a public entity are found to be contrary to this Act or the rules, procedures or directives made under this Act, the Public Procurement Monitoring Office may send a letter to the head of the public entity to correct the error found in such procurement proceedings and for action against the official involved in the procurement proceedings in accordance with the prevailing law, and if the head of the public entity himself/herself was involved in such procurement proceedings, the Office may send a letter to the concerned authority for attention.

If such a letter is received, the error shall be corrected and the head of the concerned public entity or the concerned authority shall take action against the concerned official in accordance with the law and inform the Public Procurement Monitoring Office.

(3) The Public Procurement Monitoring Office shall perform the work of the secretariat of the Review Committee pursuant to section 48 and arrange the budget required for that Committee. Chapter-10

Miscellaneous

66. Provision relating to procurement in special circumstances: (1) Notwithstanding anything elsewhere written in this Act, if a special circumstance arises and there is a situation where additional loss or damage may occur to the public entity if procurement is not made immediately, the public entity may make or cause to be made immediate procurement.

(2) The head of the public entity shall provide information regarding the circumstance pursuant to subsection (1) and detailed particulars of the procurement to be made immediately to the officer one level higher.

(3) Other provisions relating to procurement in special circumstances shall be as prescribed. 67. Instances where procurement process under this Act is not required to be followed: (1) Notwithstanding anything elsewhere written in this Act, the procurement process under this Act shall not be required to be followed in the following circumstances:-

(a) if the Government of Nepal decides that following the process under this Act is not appropriate from the perspective of national security or defense for making purchases related to security, strategic or defense, or

(b) if procurement is required to be made in accordance with the procurement guidelines of a donor party under an agreement between the Government of Nepal and that party,

Added by the First Amendment.(c) if a public entity as prescribed has to procure any goods or services for business operation by competing with the private sector,

Added by the First Amendment.(d) if procurement has to be made abroad as prescribed for events such as fairs, festivals, trade fairs or exhibitions organized abroad for social, cultural programs or industrial, economic, technology demonstration and promotion,

Added by the First Amendment.(e) if a public entity such as a Nepalese embassy or mission abroad has to

procure goods or services,

Added by the First Amendment.(f) if a public entity authorized to operate air services has to procure aviation or aircraft-related equipment.

Added by the Act to Amend Some Nepal Acts, 2082.(g) if procurement is to be made in special circumstances pursuant to section 66, or if the Government of Nepal decides to procure through an infrastructure company, stating the reasons for inability to procure, in a situation where it is necessary to carry out some construction work immediately and procurement cannot be made by completing the process under this Act.

(2) While making a decision pursuant to clause (a) of subsection (1), the Government of Nepal shall also determine a separate procedure relating thereto, stating the reason for the need to procure. Added by the First Amendment.(3) A public entity shall, for procurement pursuant to clauses (c), (d), (e) and (f) of subsection (1), make the necessary procedure, obtain consent from the Public Procurement Monitoring Office, get it approved, and implement it. Added by the First Amendment.(4) The procedure made by a public entity pursuant to subsection (3) shall, for procurement pursuant to clause (f) of subsection (1), include matters such as business plan, life cycle and net present value. Added by the First Amendment.67A. Not to hinder procurement proceedings: If an authorized body needs to call for any documents for the purpose of investigation pursuant to this Act or the prevailing law in relation to procurement proceedings being conducted by a public entity, it shall call for such documents in a manner that does not hinder the continuation of the procurement proceedings as much as possible. 68. Methods of communication: (1) Any document, notice, decision or other information mentioned in this Act and the rules made under this Act, bid documents, request for proposals or procurement contract which is to be given by a public entity to a bidder or consultant, or by a bidder or consultant to a public entity, shall, unless otherwise provided in this Act, be given in writing.

(2) If, while sending a notice pursuant to subsection (1), the address of the bidder or consultant to receive such notice cannot be found or such notice cannot be delivered for any other reason, a public notice shall be published in a national daily newspaper mentioning a brief description of that matter, and if such notice is published, that person shall be deemed to have received the notice duly. 69. Procurement transaction may be made through electronic means: (1) A public entity may adopt an electronic procedure system alone for any or all processes of procurement work.

(2) The procedure, system and inherent principles of procurement made through electronic system pursuant to subsection (1) shall be as determined by the Procurement Monitoring Office.

(3) Other procedures relating to electronic procurement shall be as prescribed. 70.

Legal documents to be kept on website: This Act, and the rules and procurement directives made under this Act shall be kept on the website of the Public Procurement Monitoring Office for the information and convenience of the general public. 71. Evaluation committee to be formed: (1) To examine and evaluate pre-qualification proposals, bids, expressions of interest or proposals for consultancy services, or sealed quotations, a public entity shall form an evaluation committee as prescribed. (2) The functions, duties and powers of the evaluation committee formed pursuant to subsection (1) shall be as prescribed. 72. Record of procurement proceedings: A public entity shall keep records of documents relating to procurement proceedings in a safe manner for the prescribed period. 73. Delegation of authority: An authorized officer may delegate, to any employee, such of the powers conferred upon him/her under this Act or the rules made under this Act, except the powers as prescribed to be non-delegable. 74. Power to make rules: (1) The

Government of Nepal may make necessary rules for the implementation of the objectives of this Act. (2) Notwithstanding anything written in subsection (1), public entities other than the public entity mentioned in sub-clause (1) of clause (b) of section 2 may make necessary rules subject to the Act, rules or formation order relating to such entities. Added by the Act to Amend Some Nepal Acts to Make Conformable to the Constitution of Nepal, 2075.(3) The provincial government and local level may make rules, not inconsistent with this Act and accepted principles of procurement, on matters including approving cost estimates, evaluating and approving bids, direct procurement, the committee to remain pursuant to subsection (2) of section 41, and designating the officer for issuing variation orders, while conducting their procurement proceedings under this Act. Added by the First Amendment.74A. May make technical guidance, procedures and directives: For the implementation of this Act, the Public Procurement Monitoring Office may make necessary technical guidance, procedures or directives, and such procedures or directives shall come into force after approval by the Government of Nepal. Added by the First Amendment.74B. Power to remove difficulties: If any difficulty arises in the implementation of this Act, the Government of Nepal may, by publishing a notice in the Nepal Gazette, issue necessary orders to remove such difficulty. 75. Repeal and amendment: (1) The proviso to section 168 of the Vehicle and Transport Management Act, 2049 is hereby repealed.

Amended by the First Amendment.(2) Notwithstanding anything written in the prevailing law, if legal provisions relating to procurement of public entities under sub-clause (2) of clause (b) of section 2 appear not to be in conformity with this Act, the Public Procurement Monitoring Office shall send a letter to the concerned public entity to amend such provisions to make them conform to this Act. Added by the First Amendment.(2a) If a letter is received pursuant to subsection (2), the concerned public entity shall amend its procurement-related law within one month to conform to this Act and inform the Public Procurement Monitoring Office thereof. Added by the First Amendment.(2b) If information is not given pursuant to subsection (2a), such legal provisions relating to procurement shall be deemed to have automatically become invalid to the extent they are inconsistent with this Act. (3) In place of section 7 of the Financial Procedures Act, 2055, the following section 7 is substituted:- "7. Procedure for expenditure: The procedure for conducting government work and projects, taking deposits, fees, service charges, giving advances and settling them, protecting government cash and kind property, conducting auction sales, granting waivers related to financial administration and other miscellaneous arrangements and procedures relating thereto shall be as prescribed." 76. Saving: All procurement-related works and proceedings done in accordance with the provisions of the Financial Procedures Act, 2055 and the Financial Administration Rules, 2056 made under that Act, and the procurement-related Act, rules or formation order of public entities mentioned in sub-clauses (2), (3), (4), (5) and (6) of clause (b) of section 2, shall be deemed to have been done in accordance with this Act.